

LINE

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**JP MORGAN CHASE BANK v. PANIAGUA
CL24-09235**

Motion for Order that Matters in Request for Admission of Truth of Facts be Deemed Admitted

TENTATIVE RULING

The Plaintiff's unopposed Motion for Order that Matters in Request for Admission of Truth of Fact be Deemed Admitted is GRANTED.

LINE

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**JULIO MEJIA RODRIGUEZ v. GREEN VALLEY PAINTING, INC. and IAN LILLIBRIDGE
Case No. CU25-03192**

Motion for Preliminary Approval of PAGA & Class Action Settlement

TENTATIVE RULING

Plaintiff JULIO MEJIA RODRIGUEZ moves for preliminary approval of the settlement reached with Defendants GREEN VALLEY PAINTING, INC. and IAN LILLIBRIDGE in Plaintiff's class action and Private Attorneys General Act ("PAGA") suit against them for labor law violations.

Preliminary Review of Class Action Settlement. Settlements of class actions are governed by California Rule of Court rule 3.769. Subsection (c) requires a preliminary approval by the court of the settlement after the settlement agreement and proposed class notice have been filed with the court and a proposed order has been lodged with the court. The settlement agreement and proposed class notice were filed with this motion. (Declaration of Young Ryu in Support of Motion ("Ryu Dec.") at ¶ 10, Exhibit 1; Notice of Errata filed 5/13/2026.) There is a proposed order granting preliminary approval formally and separately lodged in the case file.

Here, the settlement occurred subsequent to mediation with a neutral mediator. (Ryu Dec. at ¶¶ 9-10.) The involvement of a neutral mediator is normally a factor to be given considerable weight in maintaining the presumption that the settlement is the product of arms'-length negotiation. (*Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 129.) In this matter, however, the settlement was effected months after the mediation, minimizing the weight afforded to the presence of a neutral mediator earlier in the process. Nonetheless, nothing in the terms of settlement suggests preferential treatment or conflicts of interest among the proposed class members. The class members appear to be fairly treated according to their harms suffered.

The court requests that counsel appear prepared to discuss the reasonableness of the Total Settlement Amount of \$160,000 as compared to estimates of Defendants' potential liability. Counsel declares that between the damages for the claims and the penalties for statutory violations Defendants' exposure could have exceeded seven million dollars, potentially running as high as twenty million dollars. (Ryu Dec. at ¶¶ 20-39.) Further information on the evidence obtained and reviewed and the appropriateness of the discounts applied to calculate Plaintiff's likely recovery at trial in light of that evidence is requested.

Notice to Class Members; Certification. Certification is a procedure by which the court determines whether the plaintiff is a proper class representative and the action can proceed to trial as a class action. To obtain class certification, the proposed class representative(s) must show (1) an ascertainable class of sufficient size as to justify class action treatment ("numerosity") and (2) a well-defined community of interest in questions of fact and law. (*Vasquez v. Superior Court* (1971) 4 Cal.3d 800, 809.) The factors the court considers in determining the community of interest element are (1) the predominance of common issues, (2) the typicality of the claims of the proposed class members, and (3) the ability of the proposed class representative to adequately represent the class. (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.)

Plaintiff has preliminarily established the requirements for class certification. The class is numerous at approximately 91 persons. The class is also readily ascertainable as its members are all in Defendants' employment records. As for the community of interest requirement, all proposed class members suffered the same harm from Defendants' employment policies, ensuring that common issues predominate among their claims and that the named plaintiff's claims are typical of the class. There is also no sign of any antagonism between the named plaintiff and the rest of the class. Lastly, Plaintiff's counsel appears up to the task of representing the class in light of their recitation of their experience with class actions and wage and hour cases in particular. (Ryu Dec. at ¶ 3-6.)

The proposed class notice provides extensive information to the recipients about what is going on, what their options are, and how to exercise their preferred option. (Notice of Errata filed 5/13/2026.) The notice explains that the recipient is receiving the notice because records indicate employment with Defendants in the class period. The notice states an estimated recovery and number of workweeks for the recipient, with information on how to submit more accurate information for payment. The notice tells the recipient that they will receive a payment with no action needed on their part but they may also exclude themselves from or object to the settlement, with explanations of what exclusion and objection mean. The notice is properly informative.

Deductions. The court observes that the issue of deductions is typically left to be explored in detail at the final approval stage; accordingly, Plaintiff's counsel makes minimal detailed argument in favor of particular deductions at this time. The court nonetheless conducts some analysis of the proposed deductions as part of preliminary evaluation of the reasonableness of the settlement.

Attorneys' fees in class action cases are typically based upon a percentage of the gross settlement amount, under the "common fund" doctrine, which spreads the cost of the attorney among all of the parties benefited (the class). The California Supreme Court explained the advantages and disadvantages of both the common fund method and the lodestar-multiplier method (hours worked by hourly rate, multiplied by a factor to account for risk and high quality of work) before endorsing the common fund method cross-checked by the lodestar-multiplier method in *Laffitte v. Robert Half International, Inc.* (2016) 1 Cal.5th 480, 489-490 (*Laffitte*). The court observes, again understanding that counsel has not yet advanced a detailed argument concerning the lodestar amount for this case, that this case resolved with much less work involved than *Laffitte*, which took eight and a half years and saw extensive written discovery, extensive law and motion practice, sixty-eight depositions, three summary judgment motions, a class certification motion, a motion for reconsideration of class certification, a motion to decertify the class, numerous experts, and two full-day mediations. In that context an award of one third of nineteen million dollars as attorneys' fees was not an abuse of discretion.

This case resolved less than a year after initiation without any formal discovery or motion practice. (Ryu Dec. at ¶¶ 9-10 [informal documents reviewed but discovery processes such as deposition not performed].) An attorneys' fees award of 20% of the Total Settlement Amount (\$32,000) is appropriate per the evidence before the court.

The court finds that review of counsel's claim of up to \$10,000 in costs is better conducted at final approval with the aid of a detailed memorandum of costs.

The claim of up to \$6,250 for settlement administration costs does not appear excessive.

The "service award" of \$5,000 for Plaintiff's personal efforts is not reasonable. At least one federal court has approved "reasonable incentive payments," tied to the amount of time and effort spent pursuing the litigation, and the degree to which the class benefited. (*Staton v. Boeing* (2003) 327 F.3d 938, 977.) A secondary source for California class action law provided a copy of a 2001 San Francisco Court order approving a settlement containing "incentive awards" of \$2,500 to certain class representatives who participated in discovery. (Cabraser, California Class Actions Practice and Procedure (2nd ed., September 2017 updated), Exhibit 15.) Plaintiff here provides evidence that he assisted the litigation largely only by communicating with his attorneys. (Declaration of Julio Mejia Rodriguez in Support of Motion at ¶¶ 5-6.) Plaintiff was not deposed and did not help answer formal discovery as neither litigation event came to pass. A service award of

\$2,500 for Plaintiff's personal efforts appears appropriate on the evidence before the court.

Escalator Clause. The settlement agreement states that aggrieved employees worked an estimated 8,300 compensable workweeks among them from April 4, 2021 to November 20, 2025. (Ryu Dec. at ¶ 10, Exhibit 1 [settlement agreement section 4.1].) The agreement contains an escalator clause stating that if it turned out that there were more than 10% more compensable workweeks in that time frame than estimated Defendants could elect to either increase the total settlement amount (by one percentage point for every percentage point past ten of increased pay periods; for example, if the total number of compensable periods turned out to be 13% higher than the estimate, Defendants would increase the total settlement amount by 3%) or elect to cut off the class claims period at the last point that the compensable period total did not exceed 110% of the estimate.

The escalator clause's provision permitting Defendants to elect to cut the class period short is not fair or reasonable. The election provision gives Defendants control over the definition and size of the class Plaintiff purports to represent. It is not fair or reasonable to permit Defendants to choose to curtail the class if it does not align with the original estimate. Further, the escalator clause provision permitting an increase of up to 10% in identified compensable workweeks with no matching increase in compensation to the class is not fair or reasonable. There is no stated basis for permitting Defendants to ignore a certain number of labor law violations or to effectively diminish compensation to the entire class via the escalator clause as written. Relatedly, the escalator clause does not account for increases over the estimated number of PAGA compensable pay periods, meaning it does not conform with the PAGA's goal of thorough and accurate enforcement of state labor laws.

Conclusion. Plaintiff's motion is denied.

9:30 a.m. CALENDAR

LINE

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**IN THE MATTER OF THE ZACHARY WOOD SPECIAL NEEDS TRUST
FPR045592**

Sixth Account Current and Report of Trustee; for Authorization to Pay Trustee's Attorneys' Fees; Approval; of Fees Paid to Trust Advisory Committee; Removal of Florentina Valdez from the Trust Advisory Committee

PREGRANT ORDER

The court on its own motion continues this hearing to July 15, 2026, at 9:30 a.m. in Department 22. Pending the re-set hearing the petitioner shall resolve the following issue:

The petitioner obtained a surcharge order against the beneficiary's mother, Carla Wood, but it does not appear from the accounting that she has made any payments